

# Venture Capital Investment Competition Course 1

## Introduction

VCIC-C is where students get to be VCs. Working in a team, you participate in a highly interactive simulation of the VC investment process, with your team acting as a VC fund.

The course and the competition at the end are about as real as it gets: several entrepreneurs actively seeking investors pitch their companies; you analyze each closely before selecting the one most likely to meet your investment objectives; you prepare an investment proposal for an investment committee made up of real VCs, and then negotiate an investment with the actual CEO of the selected company, including investment amount, valuation, and legal terms.

Vcs from across Europe participate as guests, acting as your coaches, to providing learning tips from their experience and judging your performance. During the course and the internal competition, entrepreneurs from the Barcelona area and across Europe take part, from different sectors, stages of development, levels of growth potential and risk. It's up to you to assess their relative merits.

The course concludes with the internal IESE VCIC round, where the student teams compete in an all-day competition to invest in a new cohort of entrepreneurs. After the competition, one VCIC team is selected to represent IESE in the VCIC European Heats and, if successful in that competition, to progress to the Global Finals at UNC Kenan-Flagler Business School in Chapel Hill, North Carolina.

This elective course enables students to apply many of the learnings from the first four terms (from finance to communications, team building to marketing) into the real world.

## Course Objectives & Outcomes

Venture Capital (VC) is an asset class where qualitative factors such as team and business model (so-called “soft factors”) can have a larger impact on the investment outcome than the financial assessment. VC professionals need a holistic view of all aspects of the investment opportunity, while entrepreneurs need to understand what attracts and detracts investors. VC is a business with intrinsic uncertainty and judgment developed through deal experience is paramount.

Specifically, the course has three main objectives:

1. Learn first-hand how to evaluate an early-stage investment from a VC perspective, under time pressure and with patchy information.
2. Understand the VC investment process: how to structure an investment proposal, get buy-in from your VC firm, propose it to a real entrepreneur, explaining and clarifying when needed, and negotiate it either to a successful conclusion or to the point when it's right to walk away.
3. The chance to participate in, and possibly win, a prestigious global MBA competition against other business schools.

This is a highly competitive course, delivered at an intense pace. The time requirement before the class days is higher than for other courses. Skimming the course material will not suffice, but detailed and thorough preparation is required.

In addition to those attracted to a career in venture investing, VCIC is invaluable to anyone with entrepreneurial ambitions, learning how to evaluate new ventures and make them attractive to investors, and to understand how to enter into an investment agreement with a VC fund.

## Evaluation

The course grade will be determined as of IESE policies. It will be calculated as follows:

| Description                | Percentage |
|----------------------------|------------|
| Performance in class (SE2) | 100%       |

The independent judges in each class judge the performance of each team and individual. The final mark is decided based on the judges' marks, plus input from professors.

## Course Outline

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### Session 1

### Venture Capital Masterclass

|              |                                                                                                                                                                                                                                                                                                                                                           |
|--------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Focus        | <p>This is an introduction to:</p> <ul style="list-style-type: none"><li>- Venture Capital - how it works, why it works, what makes for a successful venture investor;</li><li>- VCIC: the course and the later competition.</li><li>- The teaching staff.</li></ul> <p>The team structures are finalised and team deliverables and timing confirmed.</p> |
| Material     | <p>FN-633-E Venture Capital and VCIC, IESE</p> <p>Market research from Orrick, Atomico, Wilson Sonsini Goodrich &amp; Rosati, Aumni &amp; Fenwick</p> <p>Related videos</p> <p>VCIC Fund Profile.</p>                                                                                                                                                     |
| Issues       | <p>What sets VC apart from other investment categories?</p> <p>The relationship between General Partner (GP) and Limited Partner (LP)</p> <p>The way VC funds are set up and operate.</p>                                                                                                                                                                 |
| Deliverables | <p>Confirmation of team members or any team issues.</p>                                                                                                                                                                                                                                                                                                   |

## Session 2

## Choose the right company with the best business model

### Focus

Ahead of the class, the student teams have been formed, and the entrepreneur pitch decks have been distributed for each team to study.

In class, each team presents their VC fund in turn, its profile and objectives. They will also each explain which entrepreneur they favor from the information available, and why.

Each entrepreneur then pitches their investment case uninterrupted; there is a discussion about the relative merits of the business; the VCs share their tips on selecting companies; and the teams explain if their views have changed about the relative attractiveness of each company.

### Material

Entrepreneurs' pitches.

FN-631-E Choosing the right company to invest in, IESE

EN-17-E, Assessing a New Business Opportunity, IESE

Related videos.

### Issues

What criteria do you use to assess a new business opportunity?

How to analyse the target market (e.g. size, growth)

What is the company's competitive advantage?

How sound, complete and entrepreneurial is the senior team?

Does the start-up fit your fund's strategy?

What could be the exit possibilities?

How do you structure the research tasks within the team?

Is there a potential "Deal-killer" you should watch out for?

### Deliverables

PowerPoint: team name and fund summary, members and photo

Preferred investment order, with a brief explanation behind selecting the company placed in first position.

**Session 3****Ask the right questions in Due Diligence with empathy**

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|---------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Focus</b>        | This class focuses on interaction with the entrepreneurs. The teams each have a timed due diligence session with the entrepreneurs in breakout rooms, to have answers to questions that arose during the research phase. There is not enough time to ask all the questions, so focus on the most important ones and don't waste time! |
| <b>Material</b>     | Entrepreneurs' pitches; your research.<br>FN-632-E<br>Ask the right questions during due diligence.<br>IESE related videos.                                                                                                                                                                                                           |
| <b>Issues</b>       | Does the entrepreneur have the right mindset?<br>Is he knowledgeable about his business and market?<br>Are there any issues that might discourage investors?<br>Can you build rapport with the entrepreneur?                                                                                                                          |
| <b>Deliverables</b> | Deliverable to be handed in before class: None.                                                                                                                                                                                                                                                                                       |

**Session 4****Investment Committee Masterclass**

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|---------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Focus</b>        | <p>Prior to investing in a company, VCs estimate how much investment will be needed across all investment rounds, the potential exit valuation and timing to work out potential returns. They also balance each investment within a portfolio in terms of timing and risk. This forms part of the input to an Investment Committee and their decision-making around investment. Requires analytical &amp; presentation skills.</p> <p>The class will draw on external experts and examine the merits of investing in the chosen entrepreneur.</p> |
| <b>Material</b>     | <p>FN-0040-E Dilution</p> <p>VCIC Term sheet template, with a focus on the first page.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                        |
| <b>Issues</b>       | <p>How to estimate ownership dilution over multiple rounds</p> <p>Creating and arguing an investment thesis</p> <p>Calculating potential returns and investment risk</p> <p>Presenting the investment opportunity simply, concisely and analytically.</p>                                                                                                                                                                                                                                                                                         |
| <b>Deliverables</b> | <p>Deliverable to be handed in before class:</p> <p>Identity of company selected for investment.</p> <p>VCIC Term Sheet (page 1) for selected company.</p>                                                                                                                                                                                                                                                                                                                                                                                        |

**Session 5****Term sheet Masterclass**

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|---------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Focus</b>        | <p>Terms for venture investing are designed to protect investor downside, give minority investors certain powers and rights, and to balance the potential rewards between among investors, founders, and staff.</p> <p>Terms need to be adjusted and applied to the each specific investment opportunity, to reflect the situation, stage and risk.</p> <p>Drawing on professional legal experts, this class focuses on the most important terms and how they should be included and adapted to the specific investment opportunity.</p> <p>Building of technical knowledge and its application to a specific investment opportunity.</p> |
| <b>Material</b>     | <p>FN-634-E Build a Smart Term Sheet and Convince the Investment Committee.</p> <p>IESE VCIC Term sheet template, with a focus on the second page that contains the summary investment terms.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                         |
| <b>Issues</b>       | <p>Understanding investment terms, how they work and why they are used.</p> <p>Differentiating between the most important terms, terms which are standard and those that require discussion and negotiation.</p> <p>How to set sensible negotiation limits on the most important investment terms.</p>                                                                                                                                                                                                                                                                                                                                    |
| <b>Deliverables</b> | <p>VCIC Term Sheet (page 2) for selected company.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |

**Session 6****Convince Investment Committee of your Investment Case**

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|---------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Focus</b>        | The teams attempt to persuade their fund colleagues in the investment Committee (made up of professional VCs) of the merits of the proposed investment, as well as the estimated investment return. This requires teamwork and negotiation skills: clarity of analysis and presentation, power of persuasion, understanding others.                                                                                                                                                                                                                                                                                                                                                                   |
| <b>Material</b>     | FN-0040-E Dilution<br>FN-634-E Build a Smart Term Sheet and Convince the Investment Committee<br>VCIC Term sheet template.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |
| <b>Issues</b>       | <p>The investment thesis for the chosen entrepreneur; why your team has selected this company over others.</p> <p>The term sheet contains all the important must-have terms and the specific situation and needs of the company are appropriately reflected in the term sheet.</p> <p>The fund is protected against downside risk and potential reluctance of the entrepreneur in the future to provide a liquidity event.</p> <p>The negotiation boundaries and limits are understood and agreed with the IC.</p> <p>The term sheet is concise, clear and well-written.</p> <p>The anticipated total investment needed across all future rounds</p> <p>The likely exit timeframe and fund return</p> |
| <b>Deliverables</b> | Deliverable to be handed in before class: Proposed investment Term Sheet in selected company, both pages, adjusted as needed from the previous classes.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |



**Session 7****Win over the entrepreneur in an intelligent negotiation**

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|---------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Focus</b>        | Students carry out negotiation sessions with the entrepreneur about the term sheet. Students must decide during the negotiation whether to reach an agreement or to walk away.                                                                                                                                             |
| <b>Material</b>     | Your draft term sheet, adjusted if required following discussions with the Investment Committee.<br>FN-635-E Negotiation in the VCIC, IESE.<br>Related videos.                                                                                                                                                             |
| <b>Issues</b>       | Are the terms understandable and acceptable, to the entrepreneur?<br>Which changes is the entrepreneur proposing; are they reasonable and how should you respond?<br>Can you conclude the negotiation with a deal? If not, how how to walk away appropriately while maintaining a good relationship with the entrepreneur. |
| <b>Deliverables</b> | Deliverable to be handed in before class: Proposed investment Term Sheet in selected company, term sheet page only, adjusted if needed from the previous classes.                                                                                                                                                          |

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**Session 8****VCIC competition Masterclass**

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| <b>Focus</b>        | Having learned the basics of VC investing, this class starts the preparation for the competitions. There are four steps to winning the Global Finals: the internal IESE round, the European competition and the two-step Global finals, which each require different skills. With input from people experienced with each of these championships, we will explore how to win each championship. |
| <b>Material</b>     | FN-636-E Winning the VCIC, IESE.<br>Related videos.                                                                                                                                                                                                                                                                                                                                             |
| <b>Issues</b>       | Key issues for each step: Due Diligence, Investment Committee, Negotiations<br>Mistakes to avoid.                                                                                                                                                                                                                                                                                               |
| <b>Deliverables</b> | None.                                                                                                                                                                                                                                                                                                                                                                                           |

**Session 9****VCIC competition preparation**

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|---------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Focus</b>        | Pitch decks from the new cohort of entrepreneurs are available and, with individual help from a group of experts, teams get the opportunity to prepare for the competition.<br>The differences between European and US investment styles are examined. |
| <b>Material</b>     | Presentation on US/EU Venture Capital.<br>VCIC judging criteria                                                                                                                                                                                        |
| <b>Issues</b>       | Selecting the right company                                                                                                                                                                                                                            |
| <b>Deliverables</b> | None.                                                                                                                                                                                                                                                  |

**Session 10****VCIC internal competition**

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|---------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Focus</b>        | With a new cohort of entrepreneurs, student teams will go through in a single day the entire VCIC cycle: entrepreneurs pitching, due diligence, investment committee and negotiations. |
| <b>Material</b>     | Entrepreneur pitch decks, distributed in advance.                                                                                                                                      |
| <b>Issues</b>       | How to choose the right company.<br>How to conduct DD.<br>How to present term sheets to an investment committee.<br>How to negotiate term sheets with an entrepreneur.                 |
| <b>Deliverables</b> | Deliverable to be handed in before class: None.                                                                                                                                        |

## Content

The course reflects the VCIC competition's compressed timelines. There are no written cases, only real-world encounters with entrepreneurs and VCs, with active student participation in almost all sessions.

For each of the course's four main parts:

- Entrepreneur pitching and assessment of the investment opportunity;
- Due diligence;
- Term sheet drafting and investment committee approval, and
- Negotiation with the selected entrepreneur...

... there are technical notes, videos, and background readings to aid throughout.

## Bibliography

There's a large selection of publications and online resources available on the venture capital industry. Some books we would highlight are:

- How to think like a VC by Patrick Vernon, UNC Kenan-Flagler Business School (VC Razor).
- Mastering the VC Game by Jeffrey Bussgang (Portfolio).
- The Business of Venture Capital by Mahendra Ramsinghani (Wiley).
- Angels, Dragons & Vultures by Simon Acland (Nicholas Brealey).
- Venture Deals: Be Smarter Than Your Lawyer and VC by Brad Feld & Jason Mendelson (Wiley).
- Getting Between the Balance Sheets by D. Frodsham and H. Liechtenstein (Palgrave).

The VCIC website also contains helpful information and materials: [www.vcic.org](http://www.vcic.org)

David Frodsham's blog 'Venturing On', where he interviews venture investors about their strategies and entrepreneurs about their journeys, is available here: <https://www.linkedin.com/company/venturing-on/>

## Professor's Biography

### Mathieu Carenzo



#### Part-time Senior Lecturer of Entrepreneurship

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Mathieu is a senior lecturer in the Entrepreneurship Department. He is a seasoned entrepreneur and dynamic Business Angel with current investments in Unicorn such as Glovo, scale-ups like Bizaway, Amphora or Trioteca and promising start-ups such as RobinGood, ModularDS, Twende and many others.

He is a member of the Investment committee of FINAVES.

Mathieu holds a master's in international trade from ESSCA in France and an MBA from IESE business School. He currently teaches in the MBA and the GEMBA and has extensive experience teaching programs in 3 different languages (English, Spanish and French) and 4 continents.

Mathieu is the founding partners of Venture Hub, a consulting firm supporting the scale of high growth start-ups and the development of entrepreneurial skills in the society at large.

Previously, he held General Partner roles in VC Funds based in Spain focusing on technology services companies operating in the B2B and B2B2C markets.

Earlier, Mathieu worked in different positions in Europe and America mostly in corporate entrepreneur positions. After an experience in Danone to start his career, he worked in AIRBUS helicopter where he led the growth of the company in Mexico, Caribbean, and Central America building his expertise in the settlement of new structures and development of new markets.

His areas of interest are lean Start-up, scale-ups and Early-stage equity financing.

## Professor's Biography

### David Frodsham



#### Part-time Lecturer of Entrepreneurship

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David Frodsham is a lecturer in the Entrepreneurship Department with a focus on the elective Venture Capital Investment Competition (VCIC) course. He has a degree in Botany and Zoology from King's College London, University of London and an MBA from INSEAD in France.

He has spent most of his career in leadership roles of technology companies, including Psion, DIP, Phoenix Technologies and Argogroup. He has also held multiple board positions in companies such as Insignia Solutions, Nativ, PressRun, Moravia, Wadaro, Confidex, Canaree and the CEO Collaborative Forum.

More recently he has turned his focus to financial structuring, strategy and transactions as Managing Partner of Little Venice Partners, a corporate financial advisory firm, and has advised on several cross-border M&A transactions. He is also the CEO of Snaresbrook Hall Ltd, a Build-To-Let residential property company in London.

David Frodsham has worked with IESE on the VCIC since 2012.

## Professor's Biography

### Heinrich Liechtenstein



#### Full-time Professor of Entrepreneurship and Financial Management

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Professor of Financial Management.

Doctor of Business and Economic Sciences.

Master in Business Administration, University of Vienna.

MBA, IESE Business School, University of Navarra.

Bachelor in Business and Economic Sciences, University of Graz.

Certified European Financial Analyst.

Professor Liechtenstein holds a PhD in Managerial Science and Applied Economics from The Economics School of Vienna, Austria, a Master's degree in Business Administration from IESE Business School, and a BSc in Business Economics from the University of Graz.

Professor Liechtenstein specializes in entrepreneurial finance, management of wealth, governance of entrepreneurial families and Impact Investing. He is a co-author of several publications on private equity. Professor Liechtenstein lectures in the MBAs and Executive Programs. As a consultant, he collaborated with leading families and financial institutions and serves on the board of family-controlled foundations. Prior to his academic career, Professor Liechtenstein was engaged in LGT dealing with ultra-high net-worth individuals. He also advised families within the Boston Consulting Group and established and sold two successful businesses.



## Learning Outcomes

These are the Learning Outcomes:

- Interact as a company executive with primary internal and external stakeholders. (OP03)
- Explore funding sources for new businesses, such as crowdfunding, business angels, venture capital, and alternative stock markets. (OP06)
- Assess new businesses in their early stages for initial rounds of financing. (OP10)
- Conceptualize, design, analyze, and apply new business models. (OP12)
- Critically evaluate relevant information for improved decision-making. (R01)
- Integrate economic efficiency, ethical criteria of respect for human dignity, and planetary sustainability in decision-making. (R10)
- Lead diverse teams by optimizing resources and inspiring trust, which translates into commitment and autonomy for the rest of the team. (R11)
- Analyze the impact of business decisions from a general management perspective, operating within a global competitive context. (R22)
- Apply an entrepreneurial mindset, with a creative and open attitude, driving necessary changes with energy and personal responsibility. (R23)

## Formative Activities

Time distribution for each formative activity:

| Description                       | Hours |
|-----------------------------------|-------|
| Sessions with the professor (AF1) | 37h   |
| Individual student work (AF2)     | 39h   |
| Teamwork (AF3)                    | 17h   |
| Assessments & Exams (AF4)         | 7h    |

## Sustainable Development Goals

While not primarily focused on sustainability, this course meaningfully incorporates sustainability-related content and perspectives where relevant. Topics such as environmental impact, social responsibility, or ethical considerations are introduced in connection with the core subject, through readings, activities, or discussions. This integration enhances students' understanding of sustainability within the broader context of business and society.

It addresses the following SDGs:

- SDG8. Decent work and economic growth
- SDG9. Industry, innovation and infrastructure
- SDG11. Sustainable cities and communities